Outlook

FW: FY 2027 & FY 2028 Biennial Budget Development

From Buddenhagen, Paul <PBuddenhagen@berkeleyca.gov>
Date Thu 11/13/2025 10:38 AM
To Ishii, Adena <AIshii@berkeleyca.gov>
Cc Kesarwani, Rashi <RKesarwani@berkeleyca.gov>; White, David <DWhite@berkeleyca.gov>; Dupaya, Maricar C. <MDupaya@berkeleyca.gov>

1 attachment (266 KB)
FY 2027 & FY 2028 Budget Instructions_Final.pdf;

Good morning Mayor Ishii,
Per the B&F Committee request to share budget instructions that CM staff received with Mayor and Council and the other Charter Officers, attached is email with budget instructions from Budget Manager Maricar Dupaya that went to all Department Directors reporting to CM.

It's a fairly long description, and below is copied from page 13, are the instructions to staff.

Thanks,
Paul

Balancing the FY 2027 & FY 2028 Biennial Budget
As previously noted, the City faces significant fiscal challenges in this biennial budget cycle, with a projected structural General Fund deficit that are currently estimated at $28 million in FY 2027 and $29 million in FY 2028, figures that may grow following baseline adjustments. Balancing rising expenditures against limited revenues remains a difficult task. With this in mind, once the baseline budget is developed, the City will move into budget balancing phase.
Some key dates and deliverables for this phase are:
January 2026

- • Budget Office provides updated FY 2027 and FY 2028 surplus/deficit estimates based on updated baseline and General Fund revenue projection.
- • Departments must prepare General Fund reduction plans equal to 10% of their budgets, net of any revenue loss associated with impacted positions.
- • Departments managing other funds that are projecting deficits must submit reduction plans sufficient to fully balance each fund in FY 2027. Target reductions will vary based on the size of each fund's projected shortfall.
- • All departments submit revenue proposals and preliminary balancing strategies.

From: Dupaya, Maricar C. <MDupaya@berkeleyca.gov>
Sent: Wednesday, October 22, 2025 8:49 PM
Cc: Buddenhagen, Paul <PBuddenhagen@berkeleyca.gov>; White, David <DWhite@berkeleyca.gov>; Rosete, Michelle <mrosete@berkeleyca.gov>; Tolliver, Angelique <ATolliver@berkeleyca.gov>

Subject: FY 2027 & FY 2028 Biennial Budget Development
Importance: High

Hello all,

The Budget Office is officially launching the FY 2027 & FY 2028 Biennial Budget Process. Attached are the budget instructions, which include key guidelines, important dates, and an overview of the steps we will be taking together over the next eight months.

This budget cycle presents significant challenges, and our success will rely on collaboration, patience, and a willingness to think outside the box, all while staying true to our goals and values as the City of Berkeley.

Please review the document carefully and share it with any staff in your department who will be involved in preparing the FY 2027 & FY 2028 budget.

If you have any questions, don't hesitate to reach out to the Budget Office.

Thank you.

Maricar Dupaya, Budget Manager
Office of Budget and Fiscal Management
City Manager's Office, City of Berkeley
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